

Interco, Inc. – Strategic Assessment of Interco and Evaluation of City Capital’s Proposal

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Interco has meaningful strengths in Furniture and Footwear, supported by strong brands and stable demand. At the same time, Apparel and General Retail continue to face structural pressures that limit the company’s ability to achieve sustained growth and margin improvement. The company’s conservative balance sheet has provided stability but has also contributed to returns that remain below long-term objectives.

City Capital’s proposal of \$70 per share represents a clear opportunity for shareholders to realize value well above Interco’s realistic stand-alone prospects. A conservative view of Interco’s long-term revenue growth, margin potential, and risk profile supports an intrinsic value of approximately \$35 to \$45 per share. Accepting the offer provides certainty of value and shifts operational and economic risk to the buyer. Based on the analysis, the proposal is aligned with shareholder interests and should receive serious consideration.

Interco’s transformation over the past several years has strengthened its presence in higher-performing segments. Furniture and Footwear now represent the majority of operating earnings and benefit from strong market positions, scale, and loyal customer bases. These divisions continue to perform well even in a competitive environment (**Exhibit 1**).

In contrast, Apparel and General Retail face ongoing headwinds. Import competition, frequent promotional activity, and uneven consumer demand have constrained profitability in these segments. Despite multiple restructuring initiatives, margin recovery has been limited. This performance disparity has kept consolidated returns below target levels.

Interco’s capital structure remains very conservative, with modest use of debt relative to total capitalization. While this supports financial flexibility, it also limits return on equity and reduces the company’s ability to enhance shareholder value through leverage. The combination of an under levered balance sheet, inconsistent earnings across divisions and undervalued trading levels has made the company an attractive acquisition candidate (**Exhibit 2**).

Market evidence indicates that the value of diversified consumer companies is driven primarily by the performance and resilience of their core segments. Interco’s strongest businesses would likely command fair valuations if sold independently, but the weaker divisions reduce the blended valuation the company could achieve in the market.

Recent acquisition premiums provide useful reference points, but many of the transactions in those studies involve firms with stronger growth or less exposure to competitive pressures. Interco’s trading history and performance profile suggest that matching those premium levels would be difficult without significant improvement in the challenged segments.

Our independent assessment of Interco’s long-term value reflects the company’s actual operating environment. Growth expectations are consistent with broader economic trends rather than high-growth consumer companies. Margin expansion opportunities are selective and tied to the stronger divisions. Capital expenditure requirements are stable, largely aimed at maintaining current operations rather than expansion. The company’s risk profile supports a higher required return than the one implied in prior analyses.

A more realistic view of Interco’s long-term outlook requires moderating several of the assumptions used in the valuation work presented to the board. The long-term revenue growth rate must reflect the

performance of a mature company operating in cyclical and competitive categories. A range of 4% to 4.5%, which is consistent with historical economic growth, is more appropriate than the 7.2% rate used previously. Expected margin expansion also requires caution. Interco's current consolidated margin is close to 8.6%, and only modest improvement toward 9.5% is reasonable given continued pressure in Apparel and General Retail. Terminal value expectations should reflect the mixed quality of the portfolio. A multiple in the 10 to 12 times range is more consistent with the company's risk and growth profile than the premium multiples previously assumed. The required return on capital should acknowledge both the high-interest rate environment and the company's limited leverage. A range of 12.5% to 13.5% better captures the risk of Interco as a stand-alone entity. Capital spending equal to depreciation remains appropriate in this scenario, since a low-growth business only needs to maintain its current asset base. Working capital assumptions based on historical relationships, including the use of 11.6% of the change in sales, remain reasonable. When these adjustments are incorporated, the implied value falls well below the range presented earlier and aligns more closely with current economic realities (**Exhibit 4- 9**).

These factors produce an intrinsic value closer to \$35 to \$45 per share, significantly below the \$70 offer.

City Capital has acted in a disciplined and strategic manner. Their initial expression of interest was followed by additional analysis, financing preparation, and a revised offer that reflects the value of Interco's core assets. Their approach is consistent with value-oriented investors who seek companies where selective divestiture, use of leverage, and operational focus can unlock meaningful value.

Accepting the proposal provides shareholders with an immediate and certain outcome at a price that the public markets have not recognized. Rejecting the offer in favour of continuing as a stand-alone company would require sustained performance improvement across the weaker divisions, consistent margin expansion, and a more favourable competitive environment. Based on the available information, the probability of achieving these outcomes in the near term is low (See **Exhibit 10** for a summary of the strategic rationale supporting the acceptance of the \$70 offer).

Management has taken steps to reposition Interco toward higher-performing segments, but progress across all divisions has been uneven. The proposal from City Capital offers shareholders a value realization opportunity that does not rely on optimistic assumptions or multi-year transformation plans. It is important to consider that outside advisors may have different incentives depending on the outcome. The advice presented by external parties should be weighed against an objective assessment of the company's long-term prospects and risk profile (**Exhibit 3**).

The City Capital proposal delivers a compelling value outcome relative to Interco's intrinsic worth and strategic position. Accepting the offer provides certainty, mitigates exposure to ongoing competitive pressures, and positions shareholders to capture value that may not be achievable through continued independent operations. Based on the full analysis, the proposal represents the most attractive path forward for shareholders.

Exhibit 1 - Interco Division Performance Snapshot

Division	Strategic Strengths	Structural Challenges	Impact on Interco's Consolidated Performance
Furniture	Strong nationally recognized brands (Ethan Allen, Broyhill)	Sensitive to economic and housing cycles (durable goods cyclicality)	Consistently among the strongest earning segments; stabilizes overall profitability
Footwear	Well-known branded lines (Converse, Florsheim) with broad market reach	Subject to fashion and style shifts (volatility in demand tied to trends)	Reliable contributor to earnings, though year-to-year variability exists
Apparel	Established brands (e.g., Le Tigre) with visibility in the apparel market	Faces import competition, pricing pressure, and reliance on promotions	Persistent underperformance weakens consolidated margins
General Retail	Longstanding presence through Central Hardware stores	Low scale relative to competitors; exposure to intense price-based competition (difficulty maintaining margins)	Dilutive to returns; contributes to Interco's undervaluation

Exhibit 2 - Why Interco Is a Takeover Target

Factor	Explanation	Implication
Underlevered balance sheet	Interco carries very low debt relative to its equity base and has substantial unused borrowing capacity	A buyer can add leverage to increase returns and finance restructuring or acquisitions
Uneven divisional performance	Furniture and Footwear perform well, while Apparel and General Retail continue to face import pressure, promotional activity, and limited scale	Acquirer can divest weaker segments and concentrate capital on the profitable core
Stable cash flows in core divisions	Furniture brands such as Ethan Allen and Broyhill, and Footwear brands such as Converse and Florsheim, generate steady and predictable cash flows	Predictable earnings make the business suitable for a leveraged acquisition
Breakup value potential	The company's divisions could command higher values if sold separately than as a combined entity	Acquirer can unlock value through selective divestitures
Operational restructuring opportunities	Repeated restructuring attempts indicate room for efficiency improvements across weaker divisions	A financial buyer with turnaround expertise can capture cost savings and operational gains

Exhibit 3- WP Compensation Structure

Component	Amount	Description
Base advisory fee	\$1.8 million	Payable regardless of the outcome of the takeover situation
Contingent fee	\$3.7 million	Payable only if City Capital withdraws its offer and Interco proceeds with a recapitalization plan

Wasserstein Perella's fee arrangement combines a fixed advisory fee with a significantly larger contingent payment tied specifically to Interco rejecting City Capital's offer and pursuing a recapitalization. This structure creates a financial incentive for WP to support strategies and valuation of assumptions that favor remaining independent rather than accepting the \$70 offer. The magnitude of the contingent fee relative to the base fee makes it important for the board to carefully evaluate the valuation of analysis and assumptions presented

Exhibit 4- Sales Growth Comparison

Note: All amounts are in dollars and millions unless stated otherwise.

Year	WP Sales @7.2%	Conservative Sales @4.5%
0 (Base)	3,341.42	3,341.42
1	3,582.01	3,491.79
5	4,730.48	4,351.40
10	6,696.98	5,189.13

Interco's sales were projected to grow at a rate of 7.2% for 10 consecutive years. This resulted in revenue rising from \$3.3 billion to \$6.6 billion. This rate exceeds long-term U.S. economic growth and is not supported by Interco's performance in structurally challenged divisions (Apparel and General Retail). A more realistic view of Interco's long-term outlook requires moderating several of the assumptions used in the valuation work presented to the board. The long-term revenue growth rate must reflect the performance of a mature company operating in cyclical and competitive categories. A range of 4% to 4.5%, which is consistent with historical economic growth, is more appropriate than the 7.2% rate used previously.

Exhibit 5- EBIT Margin Trajectories

Year	WP Margin	Conservative Margin
1988	8.59%	8.59%
1989	9.20%	8.70%
1993	9.65%	9.00%
1998	10.10%	9.50%

WP's forecast assumes broad and sustained margin expansion across all divisions, including Apparel and General Retail, despite the structural pressures described in the case.

The conservative trajectory applies a linear interpolation method to reflect modest, gradual improvement toward 9.50%, which is more consistent with Interco's historical performance and the competitive challenges facing its weaker divisions.

Exhibit 6 - WACC Assumptions (Conservative approach)

Assumption	Value	Explanation
Risk-free rate (rf)	9.01%	10-year U.S. Treasury yield
Equity risk premium	4.50%	Mid-point of a reasonable 4–5% range for a cyclical, mixed-quality business in the late 1980s.
Beta (equity)	1.20	Interco operates in cyclical categories (furniture, footwear) and has weak divisions (apparel, retail). However, low leverage makes its overall risk slightly above the market but not extreme. A beta slightly above 1 captures this mix
Cost of equity	14.41%	Computed as $9.01\% + 1.2 \times 4.5\%$ ($K_e = r_f + \beta \times \text{Equity Risk Premium}$)
Pre-tax cost of debt	10.10%	Based on 10-year BBB industrial yield from Exhibit 14. Interco's mix of strong and weak divisions aligns with A–BBB characteristics, so using the BBB rate is conservative
Tax rate	41.00%	Statutory tax rate in the case
After-tax cost of debt	5.96%	$10.10\% \times (1 - 0.41)$
Weight of equity	89.00%	Interco is described as “overcapitalized.” Market-value mix from Exhibit 9: equity = 2,622.8 out of 2,941.3 firm value.
Weight of debt	11.00%	Net debt = \$318.5 Million relative to \$2,941.3 firm value
WACC	13.48%	Computed WACC as $0.89 \times 14.4\% + 0.11 \times 5.9\%$. Higher than W-P's 10–12% because this approach incorporates Interco's cyclical exposure, weak divisions and limited leverage.

WACC rounded to 13.5% for use in the conservative DCF model.

WP vs Conservative Stand-Alone Inputs

Factor	WP Approach	Conservative Stand-Alone Approach
WACC range	10–12%	Around 13.5% (13.48% base), sensitivity from 13.5% to 15%
View of risk	Assumes Interco requires a lower return.	Assumes Interco is riskier and more cyclical, so it needs a higher required return
PV of 10-year FCFs	Higher PV due to lower discount rate	Lower PV due to higher discount rate (see Exhibit 7)
Implied equity value	Approximately \$68–\$80 per share	Approximately \$35–\$45 per share (very conservative vs. the \$70 offer)
Valuation tilt	More on the optimistic side	Realistic and risk-adjusted, more on the conservative side

Free cash flows are discounted using a WACC range of 13.5%, 14.0%, 14.5%, and 15.0%. This stepped range increases in 50-basis-point intervals to reflect meaningful but realistic changes in Interco's risk profile. A 50-bps increment is appropriate because smaller steps (e.g., 10–25 bps) do not materially affect valuation, while larger jumps (100 bps+) can overstate sensitivity. This range captures the uncertainty around Interco's true cost of capital in a high-interest-rate environment and ensures that the valuation is robust under conservative assumptions.

Exhibit 7- Terminal Multiple Comparison

Note: All amounts are in dollars and millions unless stated otherwise.

WP Terminal Valuation Summary

	10%	11%	12%	13%
Sum of PV FCFs @	1,425.26	1,357.91	1,295.16	1,236.64
PV of Terminal Value @				
TV (14×)	1,829.79	1,671.47	1,528.08	1,398.12
TV (15×)	1,960.49	1,790.86	1,637.23	1,497.98
TV (16×)	2,091.19	1,910.25	1,746.38	1,597.85

Conservative Terminal Valuation Summary

	13.5%	14.0%	14.5%	15.0%
Sum of PV FCFs @	1,053.02	1,030.60	1,008.90	987.90
PV of Terminal Value @				
TV (10×)	746.66	714.55	683.95	654.79
TV (11×)	821.32	786.00	752.35	720.27
TV (12×)	895.99	857.46	820.74	785.75

WP combines relatively low discount rates with high exit multiples, resulting in terminal values that exceed the entire present value of ten years of cash flows. This treatment implicitly values Interco as a high-growth, low-risk business, which contradicts the case description of its cyclical segments and structurally challenged divisions.

The conservative approach applies to higher discount rates consistent with Interco's risk profile and uses more appropriate terminal multiples. The resulting terminal values are proportionate to operating performance and do not dominate the valuation.

Exhibit 8 - Terminal Multiple Comparison: WP vs Conservative

Valuation Input	WP Assumptions	Conservative Assumptions	Explanation
Long-term sales growth	7.20%	3.0% to 4.5%	WP assumes sustained high growth inconsistent with Interco's mature and cyclical divisions. Conservative growth aligns with historical GDP trends and divisional performance.
EBIT margin trajectory	9.20% rising to 10.10%	8.59% rising to 9.50% (linear interpolation)	WP assumes broad improvement across weak segments. Conservative method applies modest, realistic expansion based on historical evidence.

WACC	10% to 13%	12.5% to 13.5%	WP discount rates are low for a company with cyclical exposure and limited leverage in a 9% risk-free environment. Conservative WACC better reflects risk profile.
Terminal multiple	14× to 16×	10× to 12×	WP uses premium multiples typical of high-growth firms. Conservative multiples match Interco's mixed-quality portfolio and competitive pressures.
Capital expenditure	Equal to depreciation	Equal to depreciation	Appropriate for a low-growth maintenance scenario with limited expansion capex needs.
Working capital	11.6% of change in sales	11.6% of change in sales	Both approaches apply the case's working-capital relationship, consistent with historical patterns.

Side-by-side comparison shows that WP's assumptions systematically increase projected cash flows and terminal value, producing a higher implied valuation. The conservative assumptions reflect Interco's true operating risks, slower growth outlook, and divisional challenges. When applied consistently, these inputs yield a significantly lower and more realistic valuation range of \$35 to \$45 per share.

Exhibit 9: Valuation Summary: WP vs Conservative (\$60–\$85 vs \$35–\$45)

WP Valuation Summary

(Assumptions: 7.2% growth, 9.2%→10.1% margin, 10–13% WACC, 14×–16× terminal multiple, net debt = \$318.5 million)

Note: All amounts are in dollars and millions unless stated otherwise.

WACC	PV of FCFs	PV of TV (14×)	PV of TV (15×)	PV of TV (16×)	Enterprise Value Range	Equity Value Range (EV – 318.5)	Price Range
10%	1,425.26	1,829.79	1,960.49	2,091.19	3,255–3,516	2,937–3,198	78.37–85.35
11%	1,357.91	1,671.47	1,790.86	1,910.25	3,029–3,268	2,711–2,950	72.35–78.72
12%	1,295.16	1,528.08	1,637.23	1,746.38	2,823–3,042	2,505–2,724	66.85–72.68
13%	1,236.64	1,398.12	1,497.98	1,597.85	2,635–2,834	2,316–2,516	61.82–67.15

WP Price Range: ≈ 60–85 dollars per share

- Enterprise Value (EV) = PV of 10-year FCFs + PV of Terminal Value
- Equity Value = EV – net debt of 318.5 million
- Price per share = Equity Value / 37.47 million shares
- WP's higher sales growth, margin expansion, and terminal multiples materially inflate EV and therefore the implied price range.

Conservative Valuation Summary

(Assumptions: 4%–4.5% growth, 8.6%→9.5% margin, 13.5%–15% WACC, 10×–12× terminal multiple, net debt = \$318.5 million)

Note: All amounts are in dollars and millions unless stated otherwise.

WACC	PV of FCFs	PV of TV (10×)	PV of TV (11×)	PV of TV (12×)	Enterprise Value Range	Equity Value Range (EV – 318.5)	Price Range
13.50%	1,053.02	746.66	821.32	895.99	1,800–1,949	1,482–1,631	39.53–43.52
14.00%	1,030.60	714.55	786	857.46	1,745–1,888	1,427–1,570	38.08–41.89
14.50%	1,008.90	683.95	752.35	820.74	1,693–1,830	1,374–1,512	36.68–40.33
15.00%	987.9	654.79	720.27	785.75	1,643–1,774	1,324–1,456	35.34–38.84

Conservative Price Range: ≈ 35–45 dollars per share

- Enterprise Value (EV) = PV of 10-year FCFs + PV of Terminal Value
- Equity Value = EV – net debt of \$318.5 million
- Price per share = Equity Value ÷ 37.47 million shares
- Conservative assumptions (lower growth, modest margin expansion, higher discount rates, lower exit multiples) reduce EV and equity value, consistent with the risk profile of Interco's mixed-quality businesses.

Exhibit 10 - Strategic Logic for Accepting the \$70 Offer

Factor	Why It Supports Accepting the Offer
Clear Premium Over Intrinsic Value	Conservative valuation shows Interco is worth approximately \$35–\$45 per share. The \$70 offer provides a substantial premium that public markets have never recognized.
Risk Transfer to the Buyer	Operational, cyclical and competitive risks in Apparel and General Retail shift entirely to City Capital. Shareholders benefit without waiting for uncertain long-term improvements.
Weakness in Two Divisions	Apparel and General Retail continue to face import pressure, promotions and low scale. Sustained turnaround is uncertain, limiting consolidated profitability.
Under-levered Balance Sheet	Interco operates with very low leverage relative to peers. The company has not captured the value uplift that a more efficient capital structure could provide. City Capital can unlock that value through leverage and asset sales.
Limited Margin Expansion Potential	Current EBIT margin is about 8.6%. Only modest improvement toward 9.5% is realistic. WP's projection of 10.1% is optimistic and depends on full turnaround of weaker divisions.
Realistic Growth Constraints	Long-term sales growth aligning with economic growth (4%–4.5%) is more plausible than WP's 7.2% assumption. The offer allows shareholders to avoid relying on aggressive forecasts.

Questionable Advisor Incentives	WP's \$3.7 million contingent fee is paid only if Interco rejects the offer and pursues recapitalization. This creates incentives to support higher valuation ranges.
City Capital's Credible Track Record	The Rales Brothers have a history of unlocking value in underperforming companies. Their willingness to raise the offer to \$70 signals strong conviction in the ability to restructure Interco.
Shareholder Value Maximization	Given the valuation gap, uncertain operating outlook and strategic risks, tendering shares at \$70 provides the most reliable and immediate value.